

Four Approaches to Managing Sequence-of>Returns Risk in Retirement

Attempting to sustain a fixed living standard using distributions from a portfolio of volatile assets is an inefficient retirement income strategy. This is a unique source of sequence risk. Four general techniques for managing sequence risk in retirement are highlighted in Exhibit 3.10.

Exhibit 3.10

Approaches for Managing Sequence-of>Returns Risk in Retirement

Exhibit 3.10	Approaches for Managing Sequence-of>Returns Risk in Retirement	
	1. Spend conservatively	
	2. Maintain spending flexibility	
	3. Reduce volatility (when it matters most)	
	Build a retirement income bond ladder	
	Build a lifetime spending floor with income annuities	
	Ensure a rising equity glide path in retirement	
	Use funded ratio to manage asset allocation	
	Use financial derivatives to cut downside risks	
	4. Buffer assets—avoid selling at losses	
	Cash reserve to fund near-term expenses	
	Cash value of life insurance	
	Line of credit from HECM reverse mortgage	

1. Spend Conservatively

The first option for managing sequence risk in retirement is to spend conservatively. Retirees want to keep spending consistent on an inflation-adjusted basis throughout retirement. With a total-returns investment portfolio, an aggressive asset allocation provides the highest probability of success if the spending level is pushed beyond what bonds can safely support and annuities are not otherwise considered. The primary question with this strategy is how low spending must be to ensure a sufficient probability of success. Combining an aggressive investment portfolio with